

Texas Option Period and Earnest Money: What Every New Braunfels Buyer Needs to Know

Texas real estate uses a system most other states don't have. Understanding the option fee, the earnest money, and what 'unrestricted right to terminate' actually means can save you money — and prevent costly mistakes.

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Buyers coming to New Braunfels from California, Colorado, or the Northeast often assume Texas real estate works the way it worked at home — you go under contract, order an inspection, negotiate repairs, and close. That is roughly accurate, but Texas has one structural difference that most other states do not use: the option period. It is a defined window during which you have an unrestricted, contractual right to back out of the deal for any reason, for the cost of a fee that is entirely separate from your earnest money deposit. The distinction between the option fee and the earnest money is one of the most misunderstood parts of a Texas purchase contract, and getting it wrong has real financial consequences.

FIRST, THE BASICS

What Is the Option Period in Texas?

The option period is a negotiated block of time — typically between five and ten days in a standard New Braunfels transaction — during which a buyer holds what the Texas Real Estate Commission (TREC) contract calls an 'unrestricted right to terminate.' That phrase is doing important work. Unrestricted means no reason is required. A bad inspection report is not necessary. The appraisal does not need to come in low. Written notice simply has to be delivered to the seller before the option period deadline, and the buyer is out of the contract with earnest money returned in full.

How It Differs From Contingencies in Other States

In most states, a buyer's ability to exit a contract is tied to specific contingencies: financing must fail, the inspection must reveal a material defect, or the appraisal must come in low. Each exit door has a condition attached to it. Texas does something simpler and more flexible. For the duration of the option period, the buyer effectively holds an option on the property. The buyer is not locked in. The seller is. During that window, the seller cannot accept another offer or sell the property to someone else, but the

buyer can walk away for any reason — or no reason at all — as long as written notice is delivered before the deadline. This protection is one of the things that makes Texas buyer contracts more straightforward than those in many other markets.

What 'Unrestricted Right to Terminate' Actually Means

Buyers sometimes wonder whether 'any reason' truly means any reason. It does. You can cancel during the option period because the inspection revealed serious foundation issues. You can cancel because you changed your mind about the neighborhood. You can cancel because another home came available that you prefer. You can cancel because your employer shifted your start date and your timeline changed. None of these need to be justified to the seller. What matters procedurally is that written notice is delivered to the seller — through your agent to the listing agent — before the option period clock runs out. The exact deadline time matters. If the option period is set to expire at 5:00 PM on a specific date, notice delivered at 5:01 PM is too late.

TWO DIFFERENT THINGS

Option Fee vs. Earnest Money: Understanding Both

This is where most out-of-state buyers get confused, and the confusion has real financial consequences. The option fee and the earnest money are two separate payments, held by two different parties, with two entirely different rules about what happens to them. Treating them interchangeably is a mistake.

The Option Fee: The Price of the Exit Door

The option fee is the payment that activates the option period. In New Braunfels transactions in 2026, expect somewhere between \$200 and \$500 for most standard residential purchases. The option fee is paid directly to the seller — not to a title company or escrow — and the seller is typically entitled to deposit it within three business days. If you cancel during the option period, the seller keeps the option fee regardless of reason. If you close, the option fee is typically credited back to you at closing. Think of the option fee as the cost of purchasing flexibility — you are paying for the right to exit the deal cleanly.

Earnest Money: Your Proof of Good Faith

Earnest money is a separate and typically much larger sum — usually around 1 percent of the purchase price in New Braunfels. On a \$475,000 home, that is approximately \$4,750. Unlike the option fee, earnest money is held in escrow by the title company, not the seller. And unlike the option fee, earnest money is fully refundable if you cancel during the option period. After the option period ends, earnest money becomes meaningful collateral: it protects the seller if the buyer backs out without a valid contractual justification. The core rule — cancel within the option period and you lose the option fee but keep the earnest money. Cancel after the option period without a valid contingency and you can lose both.

Why This Distinction Matters

Buyers who understand this system make better decisions during the transaction. Knowing the option fee is non-refundable creates urgency around scheduling the inspection promptly. Knowing earnest money is at risk after the option period sharpens the commitment to close. Understanding both sides of this equation changes how a buyer approaches inspection findings, repair negotiations, and the final decision to move forward.

IN PRACTICE

How the Option Period Works in New Braunfels

Knowing the mechanics is one thing. Knowing how the option period plays out in actual New Braunfels transactions is different. Market conditions, the seller's position, and the nature of the property all influence how it gets negotiated and used.

Duration: What Is Typical in This Market

In the New Braunfels market in 2026, most option periods run between five and eight days. Seven days is most common in standard residential purchases. For properties with complexity — older construction, acreage, septic systems, private wells — buyers often negotiate for ten days. In competitive multiple-offer situations, buyers sometimes shorten the option period to five days to make their offer more attractive. Shortening the window is a meaningful concession — five days is tight when you factor in scheduling an inspector, receiving the report, and making a final decision.

What Should Happen During Those Days

The option period is not time to wait and see. Schedule the home inspection within the first day or two — inspectors in New Braunfels are busy, and a seven-day window can evaporate quickly if you wait. Depending on the property, additional specialists may be warranted: a plumber to scope sewer lines, an HVAC technician, a structural engineer, or a well inspector. Your agent should be helping coordinate this from the hour the contract is executed.

AFTER THE WINDOW CLOSES

What Happens When the Option Period Ends

The close of the option period marks the point at which the buyer's easy exit disappears and earnest money becomes meaningful collateral against the commitment to close.

Repair Requests and Closing Credits

Most buyers use inspection findings as the basis for a negotiation with the seller before the option period ends. You can ask the seller to make repairs, request a price reduction, or ask for a credit at closing in lieu of the seller doing the work. Sellers generally prefer credits because they keep the

transaction clean. In New Braunfels transactions, requesting \$3,000 to \$8,000 in credits for items identified in inspection is common on older homes.

Backing Out After the Option Period

Once the option period ends, the buyer's ability to exit without losing earnest money depends on other contractual contingencies — most commonly financing and appraisal. What does not protect earnest money after the option period ends is a change of mind, a better property appearing, or general uncertainty. Those exits cost the buyer the earnest money.

COMMON MISTAKES

What Out-of-State Buyers Get Wrong

Years of working with buyers new to Texas produce a recognizable pattern of misunderstandings around the option period. Most are avoidable with upfront knowledge.

Treating the Option Fee Like a Refundable Deposit

The most common mistake is assuming that canceling during the option period means getting everything back. The earnest money comes back. The option fee does not. For most New Braunfels transactions, this means \$200 to \$500 stays with the seller regardless of reason.

Missing the Exact Deadline

Option periods expire at a specific time, not just a specific date. If written notice of termination is not delivered before that exact moment, the option period is over. Missing the deadline by an hour does not entitle the buyer to an extension.

Skipping the Inspection

Some buyers in competitive situations consider skipping the inspection to reduce costs or strengthen an offer. A home inspection in New Braunfels typically costs \$350 to \$600. The option fee paid for the inspection window is a fraction of what an undiscovered issue can cost after closing. The inspection should never be skipped.

FREQUENTLY ASKED QUESTIONS

What is the option period in Texas real estate?

The option period is a negotiated window — usually five to ten days — during which a Texas buyer has an unrestricted right to terminate the purchase contract for any reason. Written notice delivered before the deadline is sufficient to exit and receive earnest money back in full.

How much is the option fee in New Braunfels?

In most standard residential transactions in New Braunfels in 2026, the option fee runs between \$200 and \$500. It is paid directly to the seller, is non-refundable if the buyer cancels, and is typically credited back to the buyer at closing if the transaction closes.

Can I cancel during the option period for any reason?

Yes. The Texas option period gives the buyer an unrestricted right to terminate — no reason needs to be given and no specific condition needs to be triggered. Only written notice delivered before the deadline is required.

What happens to my earnest money if I cancel during the option period?

If you cancel during the option period, your earnest money is refunded in full by the title company. The option fee stays with the seller. If you back out after the option period ends without a valid contingency, the earnest money can be forfeited.

How long is a typical option period in New Braunfels?

Seven days is most common in 2026 for standard residential transactions. Buyers sometimes negotiate five days in competitive markets, or ten days when the property warrants additional specialist inspections.

Is the option fee applied to the purchase price at closing?

Yes. In standard Texas contracts, the option fee is credited back to the buyer at closing. If the transaction does not close and the buyer terminates during the option period, the seller keeps the option fee outright.